system which had social sanctions and controls behind it and was a part of the people's cultural heritage was suddenly and forcibly changed and another system, administered from outside the group, was imposed. India did not come into a world market but became a colonial and agricultural appendage of the British structure.

The village community, which had so far been the basis of Indian economy, was disintegrated, losing both its economic and administrative functions. In 1830, Sir Charles Metcalfe, one of the ablest of British officials in India, described these communities in words which have often been quoted: 'The village communities are little republics having nearly everything they want within themselves; and almost independent of foreign relations. They seem to last where nothing else lasts. This union of the village communities, each one forming a separate little state in itself... is in a high degree conducive to their happiness, and to the enjoyment of a great portion of freedom and independence.'

The destruction of village industries was a powerful blow to these communities. The balance between industry and agriculture was upset, the traditional division of labour was broken up, and numerous stray individuals could not be easily fitted